

Financial Policies and Procedures Manual

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1. Expense Reporting Policies

1.1 Purpose and Scope

These policies establish guidelines for reporting, approving, and reimbursing business expenses to ensure accountability, compliance, and timely processing. These policies apply to all employees, contractors, and authorized representatives incurring expenses on behalf of the organization.

1.2 General Principles

Business Purpose: All expenses must be ordinary, necessary, and directly related to business activities. Personal expenses are not reimbursable under any circumstances.

Personal Responsibility: Employees are expected to exercise good judgment and spend company funds as carefully as they would their own. When in doubt, choose the most economical option that meets business needs.

Advance Approval: Expenses exceeding predefined thresholds require advance approval from appropriate management before being incurred.

1.3 Eligible Expenses

Reimbursable Expenses include business travel, client entertainment and meals, professional development and training, office supplies and equipment, business-related software and subscriptions, parking and tolls for business use, professional association dues, and business phone and internet expenses when required for work.

Non-Reimbursable Expenses include personal entertainment or meals, alcoholic beverages unless pre-approved for client entertainment, personal grooming or clothing, traffic violations or parking tickets, personal vehicle maintenance or repairs, expenses for family members unless pre-approved, lost or stolen personal items, and membership fees for personal clubs or gyms.

1.4 Documentation Requirements

All expense claims must include original itemized receipts (digital or physical), date of transaction, amount and currency, business purpose and description, names of attendees for meals and entertainment, and project or client code if applicable.

Receipt Thresholds: Expenses under \$25 require a receipt but may be self-certified if lost. Expenses between \$25 and \$75 require an itemized receipt. Expenses over \$75 require a mandatory itemized receipt, and missing receipts will not be reimbursed.

If a receipt is lost or unavailable, employees must submit a Missing Receipt Affidavit form explaining the circumstances. Approval is at the manager's discretion for amounts under \$75.

1.5 Submission Process

Timing: Expense reports must be submitted within 30 days of the expense date. Expenses older than 60 days will not be reimbursed without written approval from the CFO. Month-end expenses should be submitted by the 5th of the following month to ensure proper accounting period allocation.

Submission Method: Use the company's expense management system. Attach all digital receipts to the expense report, categorize expenses correctly using provided categories, and include detailed business purpose for each line item.

Approval Workflow: The employee submits the expense report, the direct manager reviews and approves within 5 business days, the Finance department audits for compliance within 3 business days, and approved expenses are processed in the next payment cycle.

1.6 Reimbursement

Approved expenses are reimbursed via direct deposit with a standard processing time of 10-14 business days after final approval. Reimbursements are included in the bi-weekly payroll cycle.

Employees with corporate credit cards must reconcile monthly statements. Personal charges on corporate cards must be reimbursed immediately. Failure to reconcile may result in card suspension or revocation.

1.7 Compliance and Auditing

The Finance department reserves the right to conduct random audits of expense reports to ensure compliance with policies. Violations may result in denial of reimbursement, requirement to repay inappropriate expenses, disciplinary action up to and including termination, or legal action in cases of fraud. Contact the Finance Department at finance@company.com for policy clarifications.

2. Travel Reimbursement Guidelines

2.1 Travel Policy Overview

These guidelines establish clear standards for business travel that balance employee comfort and safety with cost-effectiveness and fiscal responsibility. All business travel must be approved in advance by the employee's manager and, for international travel, by the department head.

2.2 Travel Booking

Travel should be booked at least 14 days in advance when possible. Use company-preferred vendors and booking tools, and compare prices to select economical options. The company maintains preferred vendor agreements for airlines, hotels, car rental agencies, and corporate travel agencies. Employees should use preferred vendors whenever possible to maximize discounts and benefits.

2.3 Air Travel

Class of Service: Domestic flights under 4 hours should be booked in economy class. Economy Plus or Preferred Economy is allowed for domestic flights over 4 hours. Business class is allowed for international flights over 8 hours. Exceptions require VP-level approval.

Booking Guidelines: Book non-refundable tickets when travel is certain. Avoid first-class unless it's the only option available. Reasonable fees for preferred seating are allowed. Standard baggage fees are reimbursable.

Flight Changes and Cancellations: Fees for changes due to business needs are reimbursable. Fees for personal convenience are not reimbursable. Travel insurance may be purchased for high-value tickets.

2.4 Ground Transportation

Rental Cars: Mid-size or smaller vehicles (standard, intermediate, compact) should be selected. Larger vehicles require justification such as multiple passengers or equipment. Decline rental car insurance if covered by corporate policy. Refuel before returning to avoid premium charges.

Personal Vehicle Mileage: Reimbursed at the current IRS rate (\$0.70 per mile for 2026). Calculate mileage from office to destination or home to destination, whichever is less. Parking and tolls are reimbursable with receipts. Maintenance and repairs are not covered.

Taxis and Ride-Sharing: Appropriate for airport transfers and local business travel. Use company ride-share accounts when available. Tipping of 15-20% is reimbursable. Luxury services require justification.

Public Transportation: Encouraged when practical and safe. Subway, bus, and train fares are fully reimbursable. Keep receipts or provide transaction confirmations.

2.5 Accommodations

Hotel Standards: Book reasonably priced hotels in safe, convenient locations. Use preferred hotel partners when available. Standard room types are covered; suites require approval. Maximum rate guidelines vary by city tier: Tier 1 cities like NYC, SF, and LA allow up to \$300 per night; Tier 2 cities allow \$200 per night; Tier 3 cities allow \$150 per night. Exceptions require manager approval with justification.

Book only for required business nights. Extended stays for personal reasons are the employee's responsibility. Weekend stays may be approved if required to reduce airfare costs.

Alternative Lodging: Short-term rentals (Airbnb, VRBO) are allowed if more economical and comparable to hotel standards. These are appropriate for groups or extended stays. Obtain approval before booking.

Hotel Amenities: Standard internet fees are reimbursable. In-room movies, mini-bar, and spa services are not reimbursable. Parking and unavoidable resort fees are reimbursable.

2.6 Meals and Incidental Expenses

Domestic Per Diem Rates: Breakfast is \$15, lunch is \$20, dinner is \$35, for a daily total of \$70. For international travel, follow US GSA per diem rates by location available at [gsa.gov/perdiem](https://www.gsa.gov/perdiem).

Reimbursement Methods: Employees may choose Option A - Actual Expenses by submitting receipts for actual meal costs that must not exceed per diem rates (alcohol excluded unless approved client entertainment), or Option B - Per Diem by claiming daily per diem without receipts based on travel days and departure/return times. First and last day of travel receive 75% of the daily rate.

Business Meals: Client meals are fully reimbursable with receipts and business purpose documented. Team meals require manager approval. Alcohol is only allowed for client entertainment with prior approval. Include names of all attendees on receipts.

Incidental Expenses: Tips for porters and housekeeping up to \$10 per day are allowed. Laundry is reimbursable for trips exceeding 5 consecutive days. Business center charges are reimbursable. Personal phone calls are not reimbursable.

2.7 International Travel

Approval is required from the department head for all international travel. Passport and visa expenses are reimbursable for business travel. Travel vaccinations are covered by company health plan or reimbursable. International phone and data plans are reimbursable.

Use corporate credit cards for foreign transactions as credit card exchange rates are acceptable. Avoid currency exchange fees where possible. Keep receipts showing both local currency and USD equivalent.

2.8 Travel Expense Reporting

Submit travel expense reports within 15 days of return. Include all required documentation such as itinerary or travel confirmation, boarding passes for air travel, itemized hotel folios, receipts for ground transportation, meal receipts if using actual expense method, and conference or event registration confirmations. Separate business and personal expenses clearly.

3. Budget Approval Process

3.1 Budget Framework

This process establishes a systematic approach for budget planning, approval, and monitoring that ensures financial resources are allocated effectively and aligned with organizational goals.

Budget Cycle: Annual budget planning occurs from September through November. The budget submission deadline is November 15. Executive review runs from November 16 through December 15. Board approval occurs at the December meeting. The fiscal year runs from January 1 through December 31.

3.2 Budget Development

Department Budgets: Department heads are responsible for developing departmental budgets that align with strategic objectives and company goals. Budgets should include detailed justification for all significant expenditures.

Required components include personnel costs (salaries, benefits, contractors), operating expenses, capital expenditures, project-specific budgets, and contingency reserves typically ranging from 5-10%.

All budgets must document key assumptions including revenue projections, headcount changes, inflation estimates, market conditions, technology investments, and growth initiatives.

The Finance Department provides standardized templates including line-item budget worksheets, capital expenditure request forms, headcount planning sheets, multi-year projections, and variance analysis tools.

3.3 Approval Authority Levels

Operating Expenses:

Level 1 Manager Approval (\$0 - \$5,000) covers routine operational expenses and budgeted items requiring no additional approval beyond the manager.

Level 2 Director Approval (\$5,001 - \$25,000) requires manager approval plus Director sign-off for significant operational expenses and budget line items requiring reallocation.

Level 3 VP Approval (\$25,001 - \$100,000) requires manager and Director approval plus VP sign-off for major operational initiatives, new vendor contracts, and unbudgeted expenses in this range.

Level 4 CFO Approval (\$100,001 - \$250,000) requires all previous levels plus CFO approval for significant unbudgeted expenses, major contract commitments, and budget category transfers over \$50,000.

Level 5 CEO Approval (\$250,001 and above) requires all previous levels plus CEO approval for strategic investments, major capital projects, and company-wide initiatives.

Capital Expenditures:

\$10,000 - \$50,000 requires VP approval. \$50,001 - \$150,000 requires CFO approval. \$150,001 and above requires CEO approval. All capital expenditures require a detailed business case including ROI analysis, alternative options considered, implementation timeline, and total cost of ownership.

3.4 Budget Monitoring and Variance Analysis

Department heads must review budget performance monthly and submit variance reports explaining differences greater than 10% or \$10,000 (whichever is less). Quarterly budget reviews are conducted with executive leadership. Mid-year budget adjustments may be requested through a formal reforecasting process.

Variance Thresholds: Favorable or unfavorable variances exceeding 15% require written explanation. Variances over 25% trigger mandatory review meetings. Consistent negative variances may impact future budget allocations.

3.5 Budget Transfers and Amendments

Transfers Within Departments: Department heads may transfer up to \$25,000 between budget line items within their department with Finance notification. Transfers exceeding \$25,000 require CFO approval.

Cross-Department Transfers: All transfers between departments require CFO approval regardless of amount and must be documented with business justification.

Budget Amendments: Formal budget amendments for unbudgeted expenses or significant scope changes require submission of an amendment request form with detailed justification, impact analysis, and funding source identification. Approval follows the standard authority levels based on amendment amount.

3.6 Emergency and Contingency Spending

A company-wide contingency fund is maintained at 5% of total operating budget. Access to contingency funds requires CFO approval with written justification demonstrating the emergency nature and business impact. Contingency spending is reported monthly to executive leadership.

4. Vendor Payment Procedures

4.1 Purpose and Scope

These procedures ensure timely, accurate, and compliant payment to vendors while maintaining proper internal controls and documentation. All vendor payments must follow

these established procedures to ensure proper authorization, accurate record-keeping, and fraud prevention.

4.2 Vendor Setup and Management

New Vendor Registration: All new vendors must complete a Vendor Information Form providing legal business name, tax identification number, payment terms, banking information, W-9 form (for US vendors), contact information, and insurance certificates if required.

The Finance department conducts due diligence including verification of business legitimacy, review of payment terms and conditions, conflict of interest screening, and compliance with company procurement policies. Approved vendors are entered into the accounting system with unique vendor identification numbers.

Vendor Master File Maintenance: Vendor information must be kept current. Changes to vendor banking information require written verification directly from the vendor and dual approval from both the requesting department and Finance. The vendor master file is reviewed annually for accuracy and active status.

4.3 Purchase Order Process

When Required: Purchase orders are required for all purchases exceeding \$1,000, all recurring services and subscriptions, any IT equipment or software, contracted professional services, and inventory or materials purchases.

PO Creation: The requesting department creates a purchase order in the system including detailed description of goods or services, quantity and unit price, delivery date and location, appropriate budget code, and required approvals based on dollar amount. The purchase order must be approved before transmission to the vendor. Approved purchase orders are sent to vendors and serve as authorization to proceed.

4.4 Invoice Processing

Invoice Receipt: All vendor invoices should be sent directly to accounts payable@company.com. Invoices received by individual departments must be forwarded to Accounts Payable within 2 business days.

Required Invoice Information: Valid invoices must include vendor name and address, invoice number and date, purchase order number (when applicable), detailed description of goods or services, quantity and unit price, total amount due, payment terms, and vendor tax ID.

Three-Way Match: For purchase order invoices, Accounts Payable verifies the match between purchase order, receiving documentation, and invoice for description and quantity, pricing and amounts, terms and conditions, and account coding. Discrepancies must be resolved before payment processing.

4.5 Invoice Approval

Approval Requirements: Invoices must be approved by the department manager who authorized the purchase, the budget owner if different from the manager, and Finance for amounts exceeding approval thresholds.

Approval Levels: Invoices \$0 - \$5,000 require department manager approval. Invoices \$5,001 - \$25,000 require manager and director approval. Invoices \$25,001 - \$100,000 require manager, director, and VP approval. Invoices exceeding \$100,000 require manager, director, VP, and CFO approval.

Approvers are certifying that goods or services were received as described, pricing is accurate and agrees with purchase order or contract, budget funds are available, and the invoice is a legitimate business expense.

4.6 Payment Processing

Payment Schedule: Invoices are processed on a weekly payment cycle every Thursday. To be included in the weekly cycle, invoices must be fully approved by Tuesday 5:00 PM. Payments are issued within standard payment terms (typically Net 30) unless early payment discounts are advantageous.

Payment Methods: Electronic ACH payments are the preferred method for recurring vendors and payments over \$5,000. Checks are issued for vendors without ACH capability and one-time payments under \$5,000. Wire transfers are used for international payments and urgent transactions with additional approval required. Corporate credit cards are used for small purchases, travel expenses, and online transactions.

Early Payment Discounts: Vendors offering discounts for early payment (such as 2% 10 Net 30) should be evaluated for cost-benefit. Discounts exceeding 1% annual rate are generally favorable and should be taken.

4.7 Payment Controls and Fraud Prevention

Segregation of Duties: Different individuals must handle vendor setup, purchase approval, invoice processing, and payment authorization. The same person cannot create vendors and process payments. Bank reconciliations are performed by someone independent of payment processing.

Fraud Prevention Measures: Vendor banking information changes require written confirmation sent to the vendor's previously registered address or phone number. Large or unusual payments are flagged for additional review. Duplicate invoice detection is automated in the system. Regular vendor statement reconciliations are performed to identify discrepancies.

4.8 Vendor Statement Reconciliation

Monthly reconciliation of vendor statements to accounts payable ledger is required for all major vendors and vendors with monthly activity exceeding \$10,000. Reconciliations should identify unpaid invoices, disputed amounts, unapplied credits or payments, and discrepancies requiring resolution. Discrepancies must be investigated and resolved within 15 days.

4.9 Payment Disputes and Issue Resolution

When invoice disputes arise, Accounts Payable contacts the requesting department to resolve issues. Disputed amounts are placed on hold pending resolution. Vendors are notified of disputes within 5 business days with specific reasons for non-payment and expected resolution timeline. Once resolved, payments are processed in the next payment cycle.

4.10 Vendor Performance and Relationship Management

Department heads are responsible for monitoring vendor performance including quality of goods or services, timeliness of delivery, responsiveness to issues, and competitiveness of pricing. Poor-performing vendors should be reported to the Procurement department. Annual vendor reviews are conducted for strategic and high-spend vendors. Contract renewals require formal evaluation and competitive bidding when appropriate.

4.11 Record Retention

Vendor invoices, purchase orders, and payment records are retained for seven years in accordance with tax regulations and audit requirements. Electronic records are maintained in the accounting system with backup and disaster recovery procedures. Physical documents are scanned and stored electronically when possible.

4.12 Reporting and Metrics

The Finance department provides monthly reports on accounts payable aging, payment cycle times, early payment discounts captured, vendor concentration analysis, and late payment penalties incurred. Year-end reporting includes 1099 preparation and filing for

applicable vendors, W-2 reporting for contractors reclassified as employees, and annual spend analysis by vendor and category.

5. Policy Administration

5.1 Policy Review and Updates

These policies are reviewed annually by the Finance department in consultation with department heads and updated as necessary to reflect regulatory changes, business needs, and best practices.

5.2 Questions and Exceptions

Questions regarding these policies should be directed to the Finance Department at finance@company.com. Policy exceptions require written approval from the CFO or CEO depending on the materiality and nature of the exception.

5.3 Acknowledgment

All employees are required to acknowledge receipt and understanding of these policies annually through the company's HRIS system.

Document Control:

Approved by: Chief Financial Officer

Next Review Date: February 2027